

New central bank governor will offer loose continuity

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Central bank governor pick provides some reassurance to jittery financial markets.|||||||

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Short-term trajectory:

Long-term trajectory:

What Happened

President Prabowo Subianto nominated interim Bank Indonesia (BI) Governor Destry Damayanti as the sole candidate to permanently assume the position.

Our Take

The sole nomination of Destry will help reassure financial markets. The appointment of the technocratic senior central banker will remove uncertainty about the possibility of a more heavily politicized replacement at a time when BI's independence faces greater pressure. Destry will become the first woman to lead Indonesia's central bank. Parliament will very likely approve her appointment shortly after returning from recess on 14 August, though the precise timeline is unclear.

At the time of writing, the rupiah has strengthened 0.8% following the announcement.

Prabowo had the option to nominate up to three candidates—as he did recently for a vacant deputy governor position. His decision to name only Destry suggests he is somewhat sensitive to the need to quickly reassure financial markets. After the highly respected Perry Warjiyo resigned—he was seemingly nudged out—Destry's selection was probably the best-case scenario. That said, concerns about institutional erosion will linger.

Rupiah stability will remain a priority, but policy emphasis could shift. The balance between interest rates and other measures to support the currency was seemingly one of several irritants in the relationship between the more dovish Prabowo and hawkish Perry. BI has hiked rates by a cumulative 100 basis points since May—though held steady at its last meeting, shortly before Perry's resignation. Higher rates will still be on the table if the rupiah comes under renewed pressure, but there could be more emphasis under Destry on other tools, such as foreign exchange intervention, and measures to attract foreign inflows and increase rupiah demand.

Destry will probably be more sympathetic to Prabowo's desire to boost liquidity. The pro-growth president and his parliamentary allies have long grumbled that BI is not bolstering domestic liquidity sufficiently. BI will cut the reserve requirement by 200 basis points for banks with less than 19% of

funds invested in government and central bank securities, effective from 1 September (this policy was announced at the end of Perry's governorship). The aim is to raise credit growth, though this risks being counterproductive to rupiah stability.

The new BI governor could also come under more pressure to support Prabowo's flagship policies, including the fledgling rural cooperatives initiative. Perry was apprehensive about the program, though he did back the president's housing financing scheme.

Watchpoints include the next monetary policy committee meeting on 18-19 August, Destry's relations with Minister of Finance Purbaya Yudhi Sadewa (his ties with Perry were strained), and the selection of Destry's successor as senior deputy governor (there are three undisclosed candidates).

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